23STCV04365 23STCV04365

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-07-28

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C11%2C07%2F28%2F2026

Source SHA-256: f01b34e888ddaa96a33a5c7e03a8f66fb8b84d9e58e4afc6e84b270aa9164640

Case Number: 23STCV04365 Hearing Date: July 28, 2026 Dept: 11

Final

Approval of Class Action Settlement

Department

SSC-11

Sugihara

v. TAE Global, Inc, et al.

Case

No. 23STCV04365

Hearing: July 28, 2026

TENTATIVE

RULING

Prior to approval being granted,

counsel should address the following:

There is a high rate of undeliverable notices.

Six (6) out of thirty-three (33) notices remain undeliverable. (Lee Decl., ¶7.)

This is over 18% of the Notices. Counsel are to address whether this is still

the best possible Notice process if over 18% of the Notices are undeliverable.

BACKGROUND

This is a wage and hour class action. On

February 28, 2023, Plaintiff commenced this Action by filing a Complaint alleging causes of action against Defendant for: 1) recovery of unpaid wages; 2) recovery of unpaid overtime wages; 3) failure to provide meal periods; 4) failure to provide rest periods; 5) failure to timely furnish accurate wage statements; 6) violations of Labor code § 203 et seq.; 7) unfair business practices.

On July 6, 2023, Plaintiff filed a First Amended Complaint ("FAC") adding a claim under the PAGA.

On January 31, 2024, Plaintiff filed doe amendments to the FAC adding Defendants Galbi Story Inc., Kens BBQ Inc., Songhak Irvine Inc., Songhak SD, Corporation, and Songhak Inc. ("Doe Defendants"). The FAC is the operative complaint in the Action (the "Operative Complaint.")

On December 1, 2025, the Court granted the parties stipulation to dismiss all Doe Defendants, specifically, Defendants Galbi Story Inc, Kens BBQ Inc, Songhak Irvine, Inc., Songhak SD, Corporation, and Songhak, Inc. (“Doe Defendants’) without prejudice.

Counsell represents that prior to attending mediation, the parties exchanged the following information: (1) all time keeping records for Plaintiff between February 28, 2019 to January 3, 2025; (2) all employee handbooks used by Defendant between February 28, 2019 to January 3, 2025; (3) all wage and hour policies used by Defendant between February 28, 2019 to January 3, 2025; (4) an exemplar of all meal period waivers, if any, used by Defendant between February 28, 2019 to January 3, 2025; (5) 100% of full and complete payroll records for non-exempt hourly employee who worked for Defendant between February 28, 2019 to January 3, 2025); (6) total number of non-exempt hourly employees employed by Defendant between February 28, 2019 to January 3, 2025; (7) current number of non-exempt hourly employees employed by Defendant; and (8) start and end dates for all non-exempt hourly employees employed by Defendant between February 28, 2019 to January 3, 2025.

On March 24, 2025, the Parties participated in an all-day mediation presided over by Eve Wagner, Esq., which led to this Agreement to settle the Action. On October 10, 2025, counsel filed a fully executed long form Settlement Agreement with the court, attached as Exhibit A to the Declaration of

Sam Kim ("Kim Decl.") ISO Preliminary Approval.

Preliminary Approval was granted on January 20, 2026. Notice was given to the Class Members as ordered. (See Declaration of Kevin Lee ("Lee Decl.").)

Now before the Court is the motion for final approval of the settlement agreement.

CLASS DEFINITION AND ESSENTIAL TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

.

"Class" means "all non-exempt hourly employees employed by Defendant in the State of California during the Class Period." (Settlement Agreement, ¶1.4)

o "Class Period" means the period from February 28, 2019 to April 23, 2025. (¶1.12)

o

The final mailing list contained thirty-three (33) individuals identified as Class Members. (Lee Decl., ¶3.)

.

"Aggrieved Employee" means "all non-exempt hourly employees employed by Defendant in the State of California during the PAGA Period." (¶1.3)

o "PAGA Period" means the period from April 19, 2022 to April 23, 2025. (¶1.31)

o

There are eleven (11) Aggrieved Employees who worked a total of three hundred thirty-eight (338) pay periods during the PAGA Period. (Lee Decl., ¶15.)

.

Based
on a review of its records to date, Defendant estimates there are 26 Class Members who collectively worked a total of 2,000 Workweeks, and 19 Aggrieved Employees who worked a total 706 PAGA Pay Periods. (¶4.1) In the event the Administrator determine that actual number of workweeks worked by the Class Members during the Class Period is more than 10% larger than this estimate (i.e. more than 2,100 workweeks), then Defendant shall increase the GSA pro rata for every additional workweek worked by the Class Members above that 10% threshold. (¶8)

o The
total number of workweeks was one thousand two hundred ninety (1,290), and therefore, the Escalator Clause was not triggered. (Lee Decl., ¶12.)

.

The
Gross Settlement Amount ("GSA") is $295,000, non-reversionary. (¶3.1)

.

The
Net Settlement Amount ("Net") ($152,416.67) is the GSA minus the following:

o Up to $98,333.33 (33 1/3%) for
attorney fees (¶3.2.2);

o Up to $29,000 for litigation costs (Ibid.);

o Up to $7,500 for Service Payment to
the Named Plaintiff (¶3.2.1; as Amended by Notice, ¶3.B.ii);

o Up to $4,000 for settlement
administration costs (¶3.2.3); and

o Payment of $3,750 (75% of $5,000 PAGA
penalty) to the LWDA. (¶3.2.5)

.

Defendant shall separately pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payment. (¶3.1)

· Funding of Settlement: Defendant shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than March 24, 2026, or 61-days after final approval is granted by the Court, whichever is later. (¶4.3)

· Uncashed Checks: The Administrator will cancel all checks not cashed by the void date (not less than 180 days after the date of mailing). (¶4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b).] (¶4.4.3)

· Counsel submitted a copy of the settlement agreement to the LWDA on October 3, 2025. (Kim Decl. ISO Preliminary Approval, ¶22 and Exhibit C thereto.)

ANALYSIS OF SETTLEMENT AGREEMENT

A. Does a presumption of fairness exist?

The Court preliminarily found in its Order on January 20, 2026, that the presumption of fairness should be applied. No facts have come to the Court’s attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B. Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class and the LWDA.

Reaction of the class members to the proposed settlement.

Number of class members: 33 (Lee Decl., ¶3.)

Number of notice packets mailed: 33 (Id. at ¶5.)

Number of undeliverable notices: 6 (Id. at ¶7.)

Number of opt-outs: 0 (Id. at ¶8.)

Number of objections: 0 (Id. at ¶9.)

Number of participating class members: 33 (Id. at ¶11.)

Average individual payment: $4,652.12 (Id. at ¶14.)

Highest estimated payment: $25,258.48 (Ibid.)

Lowest estimated payment: $245.23 (Ibid.)

Number of Aggrieved

Employees: 11 (Id. at ¶15.)

Average PAGA payment: $113.64 (Ibid.)

Highest estimated PAGA payment: $277.37 (Ibid.)

The Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members and the LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class Counsel request $98,333.33 (33%) in fees and litigation costs and expenses in the amount of $21,994.62. (Motion ISO Fees, 14:6-8.) The Settlement provides for attorney's fees up to 33% and costs of $29,000 (Settlement Agreement, ¶3.2.2); the class was provided notice of the requested awards and no class member objected. (Lee Decl., ¶9 and Exhibit A thereto.)

"Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method."
(Wershba at 254.)
Here, class counsel requests attorney fees using the percentage method. (Motion ISO Fees, pgs. 5-13.)

The fee request represents 33% of the gross settlement amount which is the average generally awarded in class actions. See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ("Empirical studies show that, regardless of whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery.").

Counsel has provided the following lodestar information:

Biller	Time	Rate	Total
Verum Law Group, APC	211.75	$850 -$1,000	$197,604.38
TOTAL	211.75		$197,604.38

(Kim Decl. ISO Final Approval, ¶40 and Exhibit D thereto.)

Counsel has spent 211.75 hours in connection with this litigation, resulting in a lodestar of $197,604.38, which would require a negative multiplier to yield the requested fee amount. (Ibid.)

As for costs, class counsel has incurred costs of $21,994.62. (Kim Decl. ISO Final Approval, ¶41 and Exhibit C thereto.) Class Counsel is requesting $21,994.62 in costs which is less than the settlement cap of $29,000. (Ibid.) The costs in this case include, but are not limited to, filing fees ($1,506.17), mediation ($9,125), JT Calcs ($1,400), Trustpoint costs ($5,558.95), Online Legal costs, and Case Anywhere costs. (Ibid.) The costs seem reasonable and necessary to litigation.

Based on the above, the recommendation is to award $98,333.33 (1/3) for fees and $21,994.62 for litigation costs.

D. Incentive Awards to Class Representative

The Settlement Agreement provides for up to $7,500 for an incentive award to the class representative. (Settlement Agreement, ¶3.2.1.)

Plaintiff Sugihara's contributions to this litigation include, and are not limited to, spending at least 17 hours on the following: obtaining counsel, having numerous conversations with counsel, gathering documents, reviewing documents, identifying witnesses, preparing for and remaining available for mediation session,, and reviewing the settlement. (Sugihara Decl., ¶5.)

Based on the above, the recommendation is to award an enhancement award in the amount of $7,500.

E. Claims Administration Costs

The claims administrator requests $4,000 for the costs of administering the settlement. (Lee Decl., ¶17.) This is equal to the $4,000 maximum amount estimated at preliminary approval and disclosed in the notice to class members, to which there were no objections. (Id. at ¶9 and Exhibit A thereto.)

Based on all the work performed by the Claims Administrator, the recommendation is to award costs in the requested amount of $4,000.